

Trading, on the other hand, particularly day trading, involves the more frequent buying and selling of stocks over the short term (in many instances multiple times during the course of a day or week) with the goal of generating returns quickly. With trading, profits are made by buying investments at a lower price and selling at a higher price over a short period of time. To summarize the difference between trading and investing at a high level: investing focuses on value and growth while trading focuses on immediate and short-term returns.

Personally, I do not recommend trading unless you are an experienced investor and have plenty of time to dedicate to tracking your investments on a daily or even hourly basis. Trading in itself comes with a high level of risk and requires a specific skillset (which doesn't guarantee success). Yes, some traders make the right predictions, which can make them a lot of money, but the vast majority of traders have high losses even when the stock market is doing great. Furthermore, frequent buying and selling creates many taxable transactions that may come with fees and high tax rates, which in turn reduce profits.

A long-term *buy-and-hold* investing strategy has shown consistently over time that it is possible to earn strong returns when you make good-quality investments. Don't get caught up with what's hot or “trending” or by the quick stock market wins you see others making (and keep in mind that they might not be as public about their losses). Instead, focus on your own long-term objectives and invest accordingly.

Take Action

Have some fun! Sign up for a simulation account at one of the websites mentioned in this section or on another simulation website of your choice. Even if you are already investing, a simulation account is still a great learning experience. You can use your simulation account to test out investing in any of the stocks or funds you are watching or considering for the near future. (Plus, who doesn't want a hundred grand in play money? It's only virtual money, but it's still fun!)